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CANADA BREAD REPORTS FOURTH QUARTER AND FISCAL 2004 FINANCIAL RESULTS

Toronto, Ontario – February 23, 2005 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the fourth quarter and year ended December 31, 2004.

"In the fourth quarter and throughout 2004 we achieved very solid earnings growth, supported by our strong position in healthy, premium quality products, and our success in increasing manufacturing and distribution efficiencies across our bakery network," said Richard Lan, President and CEO of Canada Bread. "With well positioned brands and market share in the growing high nutrition bread category, we will continue to meet consumers needs through innovation in whole grain, organic and premium frozen bakery products."

Sales for the fourth quarter increased to $348.1 million from $317.3 million for the prior year period, while sales for the year increased to $1.32 billion from $1.26 billion last year. Earnings from operations for the fourth quarter were $27.2 million compared to $16.7 million last year, while earnings from operations for the year were $99.0 million compared to $62.9 million before restructuring costs last year.

Net earnings for the fourth quarter increased by 63% to $19.3 million ($0.76 per share), compared to $11.8 million ($0.47 per share) last year. Net earnings for the year were $66.6 million or $2.62 per share, compared to $35.6 million or $1.42 per share for the prior year.

Operating Review

All earnings comparisons exclude $7.4 million of restructuring costs which occurred in the first quarter of 2003. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Earnings comparisons for the Fresh Bakery are affected by the costs of a strike in 2003 at one of the Company's distribution centers that reduced operating earnings by $7.4 million during the first nine months of 2003.

Fresh Bakery operations benefited significantly from its sales mix that is weighted towards health and well-being categories. Strong sales of branded whole grain, whole wheat and specialty breads, and price increases to offset rising input costs, contributed to increased earnings for the quarter. Product line extensions for the quarter supporting this focus included national expansion of *Whole Grains Bagels.* Fresh Bakery also improved operating performance and efficiencies quarter-over quarter, benefiting from the application of Six Sigma to reduce manufacturing and distribution costs. Overall the Company also benefited from increased demand for bread products, as the low carbohydrate trend continues to wane.

Frozen Bakery sales and earnings increased for the year, due mainly to ongoing growth in the U.K. bakery operations. Earnings from North American Frozen Bakery operations declined for the fourth quarter and year due to increased distribution costs and a stronger Canadian dollar, although volumes increased for the year. The Company is launching a revolutionary new line of FroBake® products that complement its par-baked product line and provide a superior alternative to frozen dough by offering a product that is more moist and crusty while eliminating the need to proof the bread. FroBake® products will be produced on a commercial basis at the Company's bakery in Roanoke, Virginia commencing in the second quarter of 2005.

Interest expense of $1.8 million for the fourth quarter was consistent with last year, while interest expense for 2004 declined 18% to $6.8 million from $8.4 million in 2003 due to lower average debt balances. Cash flow from operating activities for the fourth quarter of $48.6 million was consistent with last year. Cash flow from operating activities for the year was $142.7 million compared to $66.4 million last year due to stronger earnings and a $51 million improvement in working capital balances, of which $20 million is due to the Company's securitization program.

The Company declared a dividend of $0.06 per share payable on April 1, 2005 to shareholders of record on March 11, 2005.

Canada Bread, which is 86.9% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.

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Canada Bread Company, Limited
CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars	As at December 31, 2004	2003
ASSETS		
Current assets:		
Cash and cash equivalents	**$ 9,312**	$ 11,528
Accounts receivable (note 4)	**24,148**	44,699
Inventories	**33,504**	33,205
Future tax asset - current	**5,193**	5,838
Prepaid expenses	**2,103**	2,081
	74,260	97,351
Property and equipment	**354,128**	335,811
Other long-term assets	**3,386**	2,657
Goodwill and other intangibles	**330,404**	341,814
Future tax asset - non-current	**5,465**	2,321
	$ 767,643	$ 779,954
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable and accrued charges	**$ 149,410**	$ 151,134
Due to Maple Leaf Foods Inc.	**140**	443
Dividends payable	**1,525**	1,525
Income and other taxes payable	**26,501**	4,392
Current portion of long-term debt	**71,482**	26,941
	249,058	184,435
Long-term debt	**344**	126,710
Future tax liability	**21,780**	31,382
Shareholders' equity	**496,461**	437,427
	$ 767,643	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts	Quarter ended December 31, 2004 (Unaudited)	Quarter ended December 31, 2003 (Unaudited)	Twelve months ended, December 31, 2004	Twelve months ended, December 31, 2003
Sales	**$ 348,078**	$ 317,279	**$ 1,318,865**	$ 1,262,811
Earnings from operations before restructuring costs	**27,164**	16,723	**98,970**	62,941
Restructuring costs (note 3)	**-**	-	**-**	(7,422)
Earnings from operations	**27,164**	16,723	**98,970**	55,519
Other income (expense)	**111**	(449)	**125**	(11)
Earnings before interest and income taxes	**27,275**	16,274	**99,095**	55,508
Interest expense	**1,828**	1,809	**6,837**	8,355
Earnings before income taxes	**25,447**	14,465	**92,258**	47,153
Income taxes	**6,195**	2,635	**25,610**	11,520
Net earnings for the period	**$ 19,252**	$ 11,830	**$ 66,648**	$ 35,633
Earnings per share - basic	**$ 0.76**	$ 0.47	**$ 2.62**	$ 1.42
Earnings per share - diluted	**$ 0.75**	$ 0.46	**$ 2.57**	$ 1.39
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.24**	$ 0.24
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.1

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars except per share amounts	As at December 31, **2004**	2003
Retained earnings, beginning of period	**$ 277,279**	$ 247,746
Net earnings for the period	**66,648**	35,633
Dividends declared ($0.24 per share; 2003 - $0.24 per share)	**(6,100)**	(6,100)
Retained earnings, end of period	**$ 337,827**	$ 277,279

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars	Quarter ended December 31, 2004	Quarter ended December 31, 2003	Twelve months ended December 31, 2004	Twelve months ended December 31, 2003
Cash Provided By (used in):	*(Unaudited)*	*(Unaudited)*		
Operating activities				
Net earnings for the period	**$ 19,252**	$ 11,830	**$ 66,648**	$ 35,633
Items not affecting cash				
Depreciation and amortization	**11,072**	10,955	**42,288**	39,529
Future income taxes	**(11,149)**	210	**(12,101)**	(3,010)
Loss (gain) on sale of property and equipment	**(86)**	488	**19**	196
Other	**2,311**	(249)	**3,360**	2,565
Changes in non-cash operating working capital	**27,177**	24,801	**42,518**	(8,539)
	48,577	48,035	**142,732**	66,374
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(6,100)**	(5,860)
Increase in long-term debt	**-**	-	**13,779**	79,609
Decrease in long-term debt	**(40,287)**	(23,120)	**(78,748)**	(174,131)
Increase in share capital	**-**	-	**-**	106,000
	(41,812)	(24,645)	**(71,069)**	5,618
Investing activities				
Additions to property and equipment	**(25,170)**	(24,292)	**(69,622)**	(63,792)
Proceeds from sale of property and equipment	**260**	607	**1,051**	1,146
Purchase of net assets of businesses, net of cash acquired (note 7	**-**	(4,033)	**(5,894)**	(8,928)
Change in intangible assets	**1,672**	(2,008)	**586**	(1,279)
	(23,238)	(29,726)	**(73,879)**	(72,853)
Decrease in cash and cash equivalents for the period	**(16,473)**	(6,336)	**(2,216)**	(861)
Cash and cash equivalents, beginning of period	**25,785**	17,864	**11,528**	12,389
Cash and cash equivalents, end of period	**$ 9,312**	$ 11,528	**$ 9,312**	$ 11,528

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
SEGMENTED FINANCIAL INFORMATION

In thousands of Canadian dollars	Quarter ended December 31, 2004	Quarter ended December 31, 2003	Twelve months ended December 31, 2004	Twelve months ended December 31, 2003
Sales	*(Unaudited)*	*(Unaudited)*		
Fresh Bakery	**$ 242,186**	$ 219,515	**$ 929,476**	$ 882,1
Frozen Bakery	**105,892**	97,764	**389,389**	380,6
	$ 348,078	$ 317,279	**$ 1,318,865**	$ 1,262,8
Earnings from operations before restructuring costs				
Fresh Bakery	**$ 20,853**	$ 8,756	**$ 67,214**	$ 37,0
Frozen Bakery	**6,311**	7,967	**31,756**	25,9
	$ 27,164	$ 16,723	**$ 98,970**	$ 62,9
Capital expenditures				
Fresh Bakery	**$ 11,572**	$ 10,079	**$ 31,315**	$ 25,0
Frozen Bakery	**13,598**	14,213	**38,307**	38,7
	$ 25,170	$ 24,292	**$ 69,622**	$ 63,7
Depreciation and amortization				
Fresh Bakery	**$ 5,802**	$ 5,553	**$ 22,096**	$ 20,2
Frozen Bakery	**5,270**	5,402	**20,192**	19,2
	$ 11,072	$ 10,955	**$ 42,288**	$ 39,5

In thousands of Canadian dollars	As at December 31, 2004	As at December 31, 2003
Total assets		
Fresh Bakery	**$ 395,355**	$ 390,624
Frozen Bakery	**364,919**	363,483
Non-allocated assets	**7,369**	25,847
	$ 767,643	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited

Notes to Consolidated Financial Statements
(For the quarters ended December 31, 2004 and December 31, 2003)
(Tabular amounts in thousands of Canadian dollars except per share amounts)

1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 86.6% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2004.

2. Significant accounting policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2003. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2003.

(a) Hedging relationships
As discussed in note 2(m)(i) of the annual consolidated financial statements for the year ended December 31, 2003, the Company is in compliance with Canadian Accounting Guideline 13 relating to hedging and the implementation of Accounting Guideline 13, effective January 1, 2004, had no impact on the Company.

(b) Accounting for asset retirement obligations
The application of new accounting standard, Section 3110, “Accounting for Asset Retirement Obligations” as disclosed in note 2(m)(ii) of the annual consolidated financial statements for the year ended December 31, 2003, did not have a material impact on the financial statements of the Company.

(c) Revenue recognition
The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as cost of sales. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(d) Segmented information
As of January 1, 2004, to reflect its organizational structure, the Company has segmented results into two operating segments: Fresh Bakery and Frozen Bakery. Fresh Bakery comprises fresh bakery products and specialty fresh pasta and sauces. Frozen Bakery comprises frozen bakery products including frozen par-baked and specialty bakery products. Prior period information has been included for comparability.

(e) Comparative figures
Certain 2003 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2004.

3. Restructuring costs

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

4. Accounts receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At December 31, 2004, trade accounts receivable amounting to $70.0 million (December 31, 2003: $50.0 million) had been sold under these programs.

5. Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, earnings from operations for the fourth quarter would have been as reported ($0.5 million lower year-to-date) and interest expense for the fourth quarter would have been higher by $0.1 million ($1.4 million year-to-date).

On June 28, 2004, the Company entered into interest rate swap contracts with Maple Leaf Foods Inc. on a notional amount of $130 million with maturity dates from June 28, 2007 to June 28, 2014. Consequently, the Company has fixed approximately 70% of its notional exposure to interest rates as at December 31, 2004 at interest rates between 4.0% and 5.4%.

6. Pensions

During the quarter, the Company recorded $2.2 million in net benefit plan expense (2003: $2.1 million). For the full year, the Company recorded $8.2 million in net benefit plan expense (2003: $8.1 million).

7. Acquisitions

As discussed in note 15 of the annual consolidated financial statements for the year ended December 31, 2003, the Company acquired Olafson's Baking Company in 2002. During the third quarter of 2004, the Company made the final $5.9 million payment related to this purchase. A portion of this payment had been previously accrued, and as a result, only $1.6 million of this payment resulted in an increase to goodwill.

8. Supplemental information

	Quarter ended December 31,	Twelve months ended December 31,
	2004	2004
Cash interest paid	80	6,557
Cash taxes paid	3,625	15,602